# 26NNCV03663 26NNCV03663

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26NNCV03663 Hearing Date: September 4, 2026 Dept: A

TENTATIVE RULING

SEPTEMBER 4, 2026

motion to compel arbitration

Los
Angeles Superior Court Case # 26NNCV03663

MP: Defendant
Mercedes-Benz USA, LLC

RP: Plaintiff
Tehmine Manukyan

NOTICE:

The Court is not requesting oral argument on this matter. Unless the Court directs argument in the Tentative Ruling, no argument is required and any party seeking argument should notify all other parties and the court of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice may be given either by email at BurDeptA@LACourt.org or by telephone at (818) 260-8412.

ALLEGATIONS:

Tehmine Manukyan ("Plaintiff") alleges that on February 3, 2023, she leased a 2023 Mercedes-Benz GLE 350, which was accompanied by express and implied warranties from Mercedes-Benz USA, LLC ("Defendant"). Plaintiff asserts that the vehicle was delivered with serious defects and nonconformities to the warranty, including electrical and safety related system defects. Plaintiff claims that despite a reasonable number of repair attempts, Defendant was unable to conform the vehicle to applicable warranties.

The complaint, filed May 11, 2026, alleges: (1) Violation of Song-Beverly Act – Breach of Express Warranty; (2) Violation of Song-Beverly Act – Breach of Implied Warranty; and (3) Violation of the Song-Beverly Act, § 1793.2.

MOTION ON CALENDAR:

On July 15, 2026, Defendant filed a Motion to Compel Arbitration and to Stay Proceedings. On August 18, 2026, Plaintiff filed an opposition. On August 28, 2026, Defendant filed a reply.

LEGAL STANDARD:

C.C.P. § 1281.2 states: "[o]n petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement arbitrate the controversy exists."

A party seeking to compel arbitration has the initial burden to prove, by a preponderance of the evidence, the existence of a valid and enforceable arbitration agreement. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972.) If the moving party has met its initial burden, then the burden shifts to respondents to prove the falsity or unenforceability of the arbitration agreement. (Id.)

REQUEST FOR JUDICIAL NOTICE:

With the opposition, Plaintiff requests judicial notice of Exhibits: (1) Ochoa v. Ford Motor Company (2023) 89 Cal.App.5th 1324; and (2) Gutierrez v. Mercedes-Benz USA, LLC (LASC Case No. 26PSCV00988). The request is denied as to Exhibit 1 as the Court need not take judicial notice of published case law. The request is denied as to Exhibit 2, as the Court is not bound by orders from other superior court cases.

With the reply, Defendant seeks judicial notice of Exhibits 1-16, which include superior court orders involving Defendant as a party to arbitration orders. The request is denied as the Court is not bound by orders from other superior court cases.

ANALYSIS:

Defendant moves to compel arbitration against Plaintiff and stay the action pending the outcome of the arbitration.

A. Terms of the Arbitration Agreements

Defendant provides a copy of the Motor Vehicle Lease Agreement (“Lease”) for the subject vehicle. (Newman Decl., Ex. B [Lease].)

The section entitled “Important Arbitration Disclosures” states the following relevant arbitration terms:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents , successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third-Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a

Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action. […]

This lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq). Judgment upon the award rendered may be entered in any court having jurisdiction.

(Lease at p.4.) The Lease is entered by Lessor Calstar Motors Inc. and Lessee Tehmine Manukyan.

Plaintiff argues that Defendant has not established that it is a third-party beneficiary, relying on Ford Motor Warranty Cases (2025) 17 Cal.5th 1122 and Olson v. FCA US, LLC (9th Cir. 2026) 176 F.4th 612, as amended May 21, 2026). However, the Court finds those cases to be distinguishable.
For example, the Ford Motor Warranty Cases included an arbitration provision in the sales contract, stating that any claim or dispute "between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase, or condition of this vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who did not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action."
(Ford Motor Warranty Cases, supra, 17 Cal.5th at 1127.) Similarly, in Olson, the terms defined "you" and "your" as the lessee who signed the lease and the terms "we"/"our"/"us" as the lessor (dealership) and its successors and assigns, such that FCA was not a third party who could enforce the arbitration agreement as it was not an employee, agent, successor, or assign of the dealership within the lease agreement's arbitration clauses' meaning. (Olson, supra, 176 F.4th at 616.)

In contrast, Defendant is expressly named in the Lease's arbitration agreement and specifically identified as a third-party beneficiary. (See Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1339 ["If the signatories had intended to benefit FMC, such a purpose would have been easy to articulate. They could have simply named FMC—directly or by class as the vehicle's manufacturer—as a person entitled to compel arbitration. But they did not."].)

Though not cited by the parties due to its recent publication, the Court finds the recent case (certified for publication but not yet assigned a case citation) applicable Srivastava v. BMW of North America, LLC (Cal. Ct. App., Aug. 4, 2026) to be relevant.

In that case, the plaintiff signed a lease agreement with an arbitration provision defining “we” and “us” to include BMW of North America, LLC by name. The plaintiff sued for breach of the implied warranty of merchantability, failure to promptly repurchase or replace the vehicle, failure to timely commence and complete repairs, violation of Civil Code, § 1793.2(a)(3), and breach of express warranty. BMW moved to compel arbitration, asserting standing to enforce the arbitration provision as a named third party beneficiary and under the doctrine of equitable estoppel. The trial court denied the motion to compel arbitration, relying on Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, finding that BMW was not a third-party beneficiary because plaintiff’s claims arose from BMW’s statutory warranty obligations under the Act and not the lease agreement. The Court of Appeal reversed, finding that the lease agreement expressly named BMW as an entity entitled to compel arbitration, demonstrating an intent to benefit BMW. Furthermore, the Court of Appeal found: “allowing defendant to enforce the arbitration provision would not be inconsistent “with the objectives of the contract and the reasonable expectations of the contracting parties” because the arbitration provision specifically names defendant as a third party that may enforce the provision and thus contemplated arbitration of statutory claims arising out of or relating to the lease, including the ‘condition of the Vehicle’ and the ‘Vehicle's warranty(ies).’” (Id.)

The Court of Appeal also found the Ford Motor Warranty factually and legally distinguishable because the defendant manufacturer in that case was “neither a party to nor specifically named in the sales contracts, which also did not mention the possibility of arbitrating warranty claims. The Supreme Court did not consider whether the defendant manufacturer was a third party beneficiary to those contracts, but only whether the plaintiffs should be equitably estopped from pursuing their remedies in court after the defendant argued that the warranty claims against it were intertwined with a provision in the sales contracts. [Citation.] In short, the court's analysis concerned contracts that did not explicitly name the defendant manufacturer or the possibility of arbitrating warranty claims against that defendant. ‘It is axiomatic that cases are not authority for propositions not considered.’” (Id. [internal quotation marks and citation omitted].)

Here, Defendant has established a contractual basis to compel arbitration with respect to the lease of the subject vehicle. In addition, the scope of the Lease is sufficiently broad to cover Plaintiff’s claims alleged in this action. For example, the arbitration provision covers any dispute or claim, whether in contract, tort, or otherwise, between Calstar, Plaintiff, or any third-party beneficiary (including and specifically naming Defendant) arising out of or relating to the lease or any resulting transaction or relationship. As such, the Breach of Express and Implied Warranties and Violation of Song-Beverly Act Causes of Action are covered by the arbitration agreement's terms. Furthermore, Defendant has shown that it is an intended third-party beneficiary to the Lease's arbitration provision as it was specifically identified as a third-party beneficiary to the agreement.

B.
Unconscionability

Plaintiff argues that the arbitration agreement is procedurally unconscionable because it is a preprinted contract of adhesion provided to Plaintiff on a take-it-or-leave-it-basis, she had no opportunity to negotiate the provision, and the arbitration terms are buried on page four of a ten-page form.

Plaintiff provides her declaration stating that she did not draft the Lease, it was already printed when presented to her for signing, Calstar did not offer to translate/change/remove/discuss the arbitration section, she did not understand the arbitration section nor was it explained to her, she was not offered a version of the Lease without the arbitration section, Calstar did not tell her that Defendant could require her to arbitrate, Calstar did not inform her that arbitration would apply to disputes with the manufacturer as opposed to the dealership, she never intended to give Defendant any rights against her, and she never discussed Defendant with anyone at Calstar in connection with signing the Lease. (Pl.'s Decl., ¶¶4-13.)

The Court also does not find that simply because the Lease is a preprinted form that it constitutes a contract of adhesion. "But there is no general rule that a form contract used by a party for many transactions is procedurally unconscionable. Rather, [p]rocedural unconscionability focuses on the manner in which the disputed clause is presented to the party in the weaker bargaining position. When the weaker party is presented the clause and told to 'take it or leave it' without the opportunity for meaningful negotiation, oppression, and therefore procedural unconscionability, are present. [Citation.] There is no reason in this case to conclude that plaintiff lacked power to bargain. In general, nothing prevents purchasers of used vehicles from bargaining with dealers, even though dealers use form contracts, and nothing in the record shows that plaintiff could not bargain in this case." (Crippen v. Central Valley RV Outlet (2004) 124 Cal.App.4th 1159, 1165–1166 [citation omitted].)

Although Plaintiff states that no one informed her of the arbitration terms, "[a] cardinal rule of contract law is that a party's failure to read a contract, or to carefully read a contract, before signing it is no defense to the contract's enforcement." (Desert Outdoor Advertising v. Superior Court (2011) 196 Cal.App.4th 866, 872.)

Further, there is no evidence that the Lease or the arbitration clauses were non-negotiable or that Plaintiff made any attempt to negotiate such terms and was denied. (See Bolanos v. Khalatian (1991) 231 Cal.App.3d 1586 [holding that arbitration agreement was enforceable because the plaintiff's declaration did not say that she could not read or understand the agreement and because she did not offer any evidence that she was forced or tricked into signing the agreement].) Plaintiff has not provided a declaration that she attempted to ask questions about or negotiate the Lease or arbitration agreement and that she was denied such request.

Next, the arbitration provision is distinctly set apart with a blackened heading/banner with white font stating "Important Arbitration Disclosures," and a section that includes the arbitration terms. (See Lease at pp.4-5.) Page 6 includes, in bold and in boxed text:

"NOTICE TO LESSEE: (1) DO NOT SIGN THIS LEASE BEFORE YOUR READ IT…" as well as language that says that by signing the lase, Plaintiff acknowledges "You have received and read all 10 pages of this lease and agree to all of its terms, INCLUDING THE IMPORTANT ARBITRATION DISCLOSURES ON PAGES 4 AND 5…." (Lease at p.6.) Plaintiff thereafter signed the lease on page 6. Thus, the arbitration provision is distinct and is not buried as suggested by Plaintiff.

Plaintiff also argues that the terms are unconscionable because: (1) cost-allocation term bindings only the contracting parties and not Defendant; (2) the forum-selection term is one-sided such that Defendant can veto Plaintiff's choice of forum; and (3) the severability term is asymmetric.

First, the arbitration agreement states: "If you demand arbitration first, you will pay the claimant's initial arbitration filing fees or case management fees required by the applicable rules up to $125, and we will pay any additional initial filing fee or case management fee. We will pay the whole filing fee or case management fee if we demand arbitration first. We will pay the arbitration costs and fees for the first day of arbitration, up to a maximum of eight hours. The arbitrator shall decide who shall pay any additional costs and fees. Nothing in this paragraph shall prevent you from requesting that the applicable arbitration entity reduce or waive your fees, or that we or a Third Party Beneficiary voluntarily pay an additional share of said fees, based upon your financial circumstances or the nature of your claim." (Lease at p.4.) The cost terms are not one-sided. Rather, it states that if Defendant is the first to demand arbitration, then it will pay the entire filing fee or case management fee, as well as the first day's fees. The term also allows Plaintiff to request from the arbitrator that her fees be reduced or waived or that Defendant voluntarily may pay fees. This is not a one-sided provision against Plaintiff nor unconscionable.

Second, the forum-selection clause states: "The arbitration shall be administered by the American Arbitration Association, or by any other organization that you may choose, subject to our or a Third Party Beneficiary's approval." (Lease at p.4.) This provision ensures that the parties mutually agree to an arbitration forum. If the parties are unable to agree, there are procedures for the parties to request the Court's aid in choosing an arbitrator. At most, the Court finds this provision to provide low indications of procedural unconscionability.

Third, the severability term states: "If any part of clause 3 or any similar provision dealing with class action, class arbitration or consolidation is found to be illegal or unenforceable, then this entire arbitration section will be severed and the remaining provisions of this lease shall be given full force and effect as if the arbitration section of this lease had not been included in the lease." (Lease at p.5.) The Court does not find this language to be unconscionable, particularly in the context of this case, which is not a class action lawsuit.

Thus, the Court finds little-to-no indications of unconscionability, which weighs in favor of granting this motion.

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RULING:

In the event the parties submit on this tentative ruling, or
a party requests a signed order or the court in its discretion elects to sign a
formal order, the following form will be either electronically signed or signed
in hard copy and entered into the court's records.

ORDER

Defendant Mercedes-Benz
USA, LLC 's Motion to Compel Arbitration and to Stay Proceedings came on regularly for hearing on September 4, 2026, with
appearances/submissions as noted in the minute order for said hearing, and the
court, being fully advised in the premises, did then and there rule as
follows:

THE COURT IS GRANTS THE Motion
to Compel Arbitration AND STAY PROCEEDINGS.

The Case Management Conference set for NOVEMBER
12, 2026 is taken off-calendar. AN
ARBITRATION STAY IS PLACED ON THE CASE.
THE Court sets a Status Conference re: Arbitration for SEPTEMBER 8, 2027
at 9:00 AM.

DEFENDANT TO PROVIDE NOTICE.

IT IS SO ORDERED.